Balance Sheet as on 31st March, 2016

Liabilities	₹	₹	Assets	₹	₹
Capital	25,000		Furniture and fixtures		30,000
Add: Net profit	42,004	67,004	Sundry debtors	20,100	
Bills payable		10,000	Less: Further bad debts	100	
				20,000	
			Less: Provision for bad and doubtful debts (20,000 × 2%)	400	
				19,600	
			Less: Provision for discount (19,600 × 1%)	196	19,404
			Stock-in-trade		8,000
			Cash at bank		19,600
		77,004			**77,004**

Illustration 17

The following trial balance has been extracted from the books of Rajesh on 31st December, 2016.

Debit balance	₹	Credit balance	₹
Drawings	44,000	Capital	1,76,000
Plant and machinery	1,00,000	Cash sales	1,72,000
Opening stock	20,000	Provision for bad and doubtful debts	2,000
Purchases	2,70,000	Bank overdraft	20,000
Wages	62,000	Discount received	6,000
Salaries	70,000	Credit sales	3,00,000
Insurance	45,000	Sundry creditors	24,000
Rent and taxes	17,000		
Sundry debtors	50,000		
Suspense A/c	22,000		
	7,00,000		7,00,000

The following adjustments are to be made:

(a) Stock on 31st December, 2016 was ₹28,000

(b) Unexpired insurance was ₹15,000

(c) Provision for doubtful debts is to be maintained at 5% on sundry debtors.

(d) Depreciate plant and machinery at 20%.

You are required to prepare trading and profit and loss account for the year ended 31st December, 2016 and a balance sheet as on that date.

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